



\$3.6 million
the annual saving Singapore
supermarket NTUC FairPrice
made by implementing ISO
quality standards, 1999–2009



NEED TO KNOW

- › **ISO 9000** Set of international quality standards and certification demonstrating that companies have met standards specified
- › **Malcolm Baldrige National Quality Award** Annual award given to US companies that demonstrate quality excellence and establish best-practice standards in industry
- › **Deming Prize** Japanese award given to companies to recognize efforts in quality improvement

WHAT MAKES QUALITY?



Manufacturing industry

- › Conformity to specifications/standards
- › Performance
- › Reliability
- › Functionality/features
- › Durability
- › Serviceability



Service industry

- › Getting the desired result
- › Consistency
- › Responsiveness to customer needs
- › Courtesy/friendliness
- › Promptness
- › Psychological factors, such as good atmosphere



Once the product is with the customer, a defect is expensive. Financial cost includes returns, repairs, and recalls, but the impact on the company's reputation may be even more damaging.



LOCATION OF DEFECT

PRODUCT WITH CUSTOMER